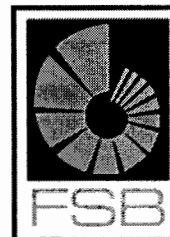


DIRECTIVE

FINANCIAL SERVICES BOARD REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT 1998 (ACT 52 OF 1998)

Addressee:	Long-Term Insurers		Reference:	10/7/2/1 and 10/17/1
Edition	Issue Date	Effective Date	Directive	Status
1 st	31/01/2007	31/01/2007	148.A.i(LT)	In-force
2 nd				
3 rd				

Subject: FIC Compliance and Reporting of Information

1. Purpose of this directive

The purpose of this directive is to:

- Set out the additional information to be reported to the Registrar of Long-Term Insurance ("The Registrar") to enable the Financial Services Board ("FSB") to meet its supervisory role in terms of the Financial Intelligence Centre Act, 2001 (Act 38 of 2001) ("FIC Act").
- Clarify requirements to be met by Long -Term Insurers ("Insurers") in terms of the FIC Act and the related Money Laundering and Terrorist Financing Control Regulations.
- Facilitate the evaluation of the conditions under which exemptions issued under the FIC Act can be applied and maintained.

2. Legislative background

The FSB has the responsibility to supervise insurers in terms of the Long-Term Insurance Act (Act 52 of 1998), and additional supervisory responsibilities in terms of section 45 of the FIC Act.

The FIC Act requires accountable institutions, which include Long-Term Insurers, as defined in Schedule 1 of the FIC Act, to identify, verify and keep specific records of all new customers with effect from 30 June 2003. Identification and record keeping for all existing customers had to be completed by 30 June 2004. Transactions with these customers should not be concluded until the identification and verification requirements have been met.

The above-mentioned obligations are compulsory. However, there are exemptions that relieve accountable institutions from fulfilling certain obligations and duties imposed by the FIC Act.

This directive relates to Exemption 4 of the Money Laundering and Terrorist Financing Control Regulations. Exemption 4 is a general exemption and is given on a conditional basis.

Under Exemption 4, Insurers, amongst others, are exempted from compliance with section 21 of the FIC Act and certain paragraphs of section 22(1) of the FIC Act, in respect of a business relationship or single transaction which is entered into with the primary accountable institution i.e. the broker. Exemption 4 is subject to the condition that the primary accountable institution confirms in writing to the satisfaction of the second accountable institution i.e. the insurer that the primary accountable institution complies fully either with the provisions of section 21 of the FIC Act or its internal rules and procedures relating to the identification and verification requirements.

Exemption 4 does not exempt the second accountable institution from complying with the rest of the provisions of section 22 of the FIC Act. The second accountable institution must, in addition, keep a record of–

- (a) the amount involved and the parties to the transaction [22(1)(f)]; and
- (b) all accounts that are involved in that business relationship or single transaction [22(1)(g)];

3. The requirement of a second accountable institution to satisfy itself of compliance by a primary accountable institution

Insurers must be satisfied with the written confirmation provided by the primary accountable institution. In this regard it is imperative that the Insurers confirm such evidence and the basis for the satisfaction should be demonstrated.

The Registrar requires the Insurer to keep on record an evaluation to confirm such compliance to the satisfaction of the Insurer. The evaluation may be in the form of regular compliance review of brokers by insurers. The evaluation may be performed by the Insurer's Compliance Officer, Broker Consultant or Outsourced Compliance Service Provider that the Insurer may choose to discharge such obligation.

4. Additional Information Required to be Reported to the Registrar

Section 36 (1) of the Long Term Insurance Act enables the Registrar to prescribe the form, timing and content of information required in the returns.

Insurers are already required by the Registrar to complete a questionnaire in the annual return, in relation to compliance with the provisions of the FIC Act. These are, in turn, part of the agenda for the on-site visits conducted by the FSB.

Insurers are immediately further required by the Registrar, with effect from quarters ending on and after 28 February 2007, to submit information on the number of clients on their records on a quarterly basis. The table below gives the format and information to be supplied.

Quarter ended		Number of Customers
Total Customers		
Clients sourced directly		
Clients sourced from other accountable institutions	Exemption 4 -	
	Primary Accountable Institution	
Reported Transactions to Financial Intelligence Centre		
Number of Suspicious and Unusual Transactions reported		

5. Compliance

It is imperative that insurers must have available for inspection a list of customers referred to the insurer by each primary accountable institution. The list must contain the customers by category described in the table above. The total of all such customers held by primary accountable institutions will form the basis for reporting the total number of customers that have been identified and verified and for whom records have been kept in terms of the Act.

The Registrar will conduct specific on-site visits on insurers and require them to provide the list of customers mentioned above. The insurer must, in addition, provide the Registrar during the on-site visits with statistics of the reported suspicious transactions made to the Financial Intelligence Centre for the relevant quarter.



M E MUNYAI

DEPUTY REGISTRAR OF LONG-TERM INSURANCE